

ALABAMA DEPARTMENT OF REVENUE
ADMINISTRATIVE CODE

CHAPTER 810-3-135
INCOME TAX CREDITS

810-3-135-.01 Income Tax Credit For Qualifying Workplace
Education Costs In The Basic Skills Education
Program.

(1) SCOPE. This regulation sets forth definitions of terms used in regulation 810-3-135-.02 which establishes the computation and limitation of the credit and procedures to be followed.

(2) DEFINITIONS. The following terms have the meaning ascribed to them for the purposes of implementing Code of Ala. 1975, §40-18-135 and associated regulations, unless the context clearly indicates otherwise.

(a) Approved basic skills education program. A basic skills education program that has received written approval from the Alabama Department of Education pursuant to this article.

(b) Basic skills education program. An approved employer provided or employer sponsored education program that enhances basic skills of employees up to and including the twelfth grade functional level.

(c) Costs of education. Direct instructional expenses incurred for or relating to instructors, materials, or equipment used in the qualifying program, or for supplies, textbooks, or salaries, including compensation paid to employees while participating in an approved basic skills education program.

(d) Employee. An individual resident of Alabama who is employed for at least 24 hours per week by the employer seeking the income tax credit and who has been continuously employed for at least 16 weeks.

(e) Employer. A resident or nonresident individual or corporate business, including but not limited to, a subchapter "S" corporation, that is subject to the state income tax.

(f) Employer provided. An approved basic skills education program offered by the employer on the premises of the employer or on premises approved by the Alabama Department of Education.

(g) Employer sponsored. A contractual arrangement with a school, college, university, adult basic skills education program, or other approved provider that offers an approved

basic skills education program that is paid for by the employer.

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Statutory Authority: Code of Ala. 1975, §40-18-135.

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